deliver to the company. Through this mechanism, the chairman created an institutional system that encouraged the constant flow of inputs from each company to the group and vice versa.

In an interview with a business magazine, Ratan said that the CEO would function in a manner ensuring that the ‘autonomy of the company is maintained’. He also worked to neutralize possible disconcertment in the managing directors stating: ‘I do not believe that if we have trust and confidence in each other we will take away any of the creativity or the sense of entrepreneurship.’

But that was not to come at the cost of important process changes. For instance, the responsibility of the individual enterprises to the holding company board increased. A distinct change was in the manner managing directors now made their proposals before the Tata Sons’ board. They had to present their ‘thinking’ to the group office, which would ‘focus its time on listening to that thinking’, promoting ‘greater answerability’. This ensured that before important proposals came to the board, they were analysed, critiqued, tweaked or reworked to make them more robust.

The three outside inductees were assigned specific roles. Gopalakrishnan was given the responsibility to specifically look at the Tata Brand Equity issues. It led to the provision to conclude the BEBP. The GEO also evolved the ‘fitment’ criteria—an assessment of whether the group and a company’s goals and strategies complemented each other. Those companies that did not fulfil the fitment criteria could draw up concrete plans to better their performance. A company in this situation had three options: it could merge with another group company, the group could buy another company of the same kind and attain scale, or it had to be divested.

In evolving this concept, he nurtured the skills of a geologist and an astronomer, says Gopalakrishnan. ‘Most industrial managers are trained to be geologists in their skills. They are quick to inquire, “What is inside this object?” Only a few can also be an astronomer to be able to inquire, “What is this object a part of?” For example, “This is a good standalone business but how does it fit into the group?”’ he says were the questions Ratan posed.

Implementing this principle, by 2004, the group exited from ten businesses and three JVs. The former list included manufacturers of soaps and toiletries and the latter, Tata Honeywell, which Ratan said made little business sense to continue further as the modified rules permitted foreign